NOMURA

Global Markets Research

13 July 2026

Unisplendour Corporation 000938.SZ 000938 CH

EQUITY: TECHNOLOGY

Time to revisit China's AI value chain winners

AIDC capex acceleration, AI server / switch upgrades are key drivers

Rating Remains	Buy
Target price Increased from CNY 32.00	CNY 51.00
Closing price 13 July 2026	CNY 38.40
Implied upside	+32.8%
Market Cap (USD mn)	16,192.0
ADT (USD mn)	954.4

Action: Maintain Buy and raise TP to CNY51, implying 32.8% upside

Unisplendour reported a strong 1H26 profit alert on 10 July after market close, guiding for 83.5%-122.9% y-y earnings growth in 1H26 (CNY1.91bn-2.32bn), partially attributable to the non-operating income from the acquisition of the remaining shares of H3C (Unlisted), according to the company. Excluding the CNY250-350mn contribution to non-operating income, it guided for recurring earnings at CNY1.61bn-2.02bn (+44.02%-80.69% y-y). We attribute the solid performance in 1H26 to the ramp-up of China's AIDC investment and rising domestic substitution trend. As one of the leaders in China's AI server and network switch markets, Unisplendour is poised to benefit from China's accelerated AI investment, technology upgrade, and global expansion, in our view. We raise FY26-28F revenue / earnings forecasts by 17.1-47.9% / 32.1-51.3%. We maintain our Buy rating and raise TP to CNY51, based on a rolled forward 40x (previously 30.5x) FY27F EPS of CNY1.28, in line with WIND consensus China A-share server & switch sector median P/E. The stock is trading at 30x FY27F EPS.

AI server / switch adoption may accelerate in China, underpinning faster business expansion, while margins may gradually improve on high-end segment

We think China's AI investment could gradually catch up with that of the global market, while the Chinese government is determined to strengthen the competitiveness of the domestic AI supply chain with a potential CNY2tn investment, according to a recent BBG report (see our report: *Reports on China ramping up AI investment*). Besides, the upgrade to SuperNode (超节点) by Huawei (unlisted) and large cloud companies in China would also increase the demand for high-end switch and optical products in China, which we believe will benefit Unisplendour given that it is one of the duoplay switch makers in China. We estimate 27% / 40% y-y revenue growth for its network equipment / server segment in FY26F, at 15% / 25% CAGRs in FY26-28F, contributing 84% of total sales in FY28F. Despite concerns about the "white-label" products, we expect high-end product upgrade to offset dilution on margins.

Further consolidation on H3C to propel the company's global expansion

As the company further consolidates the H3C asset, we think concerns about the conflict of business with its previous H3C JV partner HPE (HPE US, not rated) will be resolved, and should clear the way for Unisplendour's global expansion. We estimate overseas revenue to deliver a 41% CAGR (vs 13% for China) in FY6-28F and contribute 10% of FY28F sales.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	96,748	108,611	121,097	112,266	143,041	0	161,231
Reported net profit (mn)	1,686	3,003	2,866	3,985	3,653	0	4,260
Normalised net profit (mn)	1,686	3,003	2,866	3,985	3,653	0	4,260
FD normalised EPS	58.93c	1.05	1.00	1.39	1.28		1.49
FD norm. EPS growth (%)	7.2	18.6	70.0	32.7	27.5		16.6
FD normalised P/E (x)	65.2	–	38.3	–	30.1	–	25.8
EV/EBITDA (x)	33.3	–	23.9	–	20.0	–	17.1
Price/book (x)	7.4	–	6.3	–	5.3	–	4.5
Dividend yield (%)	0.2	–	0.3	–	0.4	–	0.4
ROE (%)	12.0	17.9	17.9	20.3	19.3		19.0
Net debt/equity (%)	148.5	102.6	120.0	69.5	82.9		41.4

Source: Company data, Nomura estimates

Relative performance chart

Source: LSEG, Nomura

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Key data on Unisplendour Corporation

Performance

(%)	1M	3M	12M		
Absolute (CNY)	52.7	36.0	58.4	M cap (USDmn)	16,192.0
Absolute (USD)	52.2	37.0	67.4	Free float (%)	36.8
Rel to CSI 300	52.6	33.1	39.3	3-mth ADT (USDmn)	954.4

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	79,024	96,748	121,097	143,041	161,231
Cost of goods sold	-65,282	-82,632	-103,079	-121,711	-137,335
Gross profit	13,742	14,116	18,018	21,330	23,897
SG&A	-10,542	-10,471	-12,985	-15,195	-16,967
Employee share expense					
Operating profit	3,200	3,645	5,032	6,134	6,930
EBITDA	3,602	4,043	5,567	6,492	7,173
Depreciation	-402	-398	-535	-357	-243
Amortisation					
EBIT	3,200	3,645	5,032	6,134	6,930
Net interest expense	-954	-1,053	-1,318	-1,557	-1,755
Associates & JCEs					
Other income	-18	-218	-151	-36	121
Earnings before tax	2,227	2,375	3,563	4,542	5,296
Income tax	-245	-203	-305	-389	-454
Net profit after tax	1,982	2,171	3,258	4,153	4,842
Minority interests	-410	-486	-392	-499	-582
Other items					
Preferred dividends					
Normalised NPAT	1,572	1,686	2,866	3,653	4,260
Extraordinary items					
Reported NPAT	1,572	1,686	2,866	3,653	4,260
Dividends	-215	-186	-316	-403	-470
Transfer to reserves	1,358	1,500	2,550	3,250	3,790

Valuations and ratios

	FY24	FY25	FY26F	FY27F	FY28F
Reported P/E (x)	69.8	65.2	38.3	30.1	25.8
Normalised P/E (x)	69.8	65.2	38.3	30.1	25.8
FD normalised P/E (x)	69.8	65.2	38.3	30.1	25.8
Dividend yield (%)	0.2	0.2	0.3	0.4	0.4
Price/cashflow (x)	45.0	31.5	51.7	22.9	13.6
Price/book (x)	8.2	7.4	6.3	5.3	4.5
EV/EBITDA (x)	37.4	33.3	23.9	20.0	17.1
EV/EBIT (x)	42.1	36.9	26.5	21.1	17.7
Gross margin (%)	17.4	14.6	14.9	14.9	14.8
EBITDA margin (%)	4.6	4.2	4.6	4.5	4.4
EBIT margin (%)	4.0	3.8	4.2	4.3	4.3
Net margin (%)	2.0	1.7	2.4	2.6	2.6
Effective tax rate (%)	11.0	8.6	8.6	8.6	8.6
Dividend payout (%)	13.6	11.0	11.0	11.0	11.0
ROE (%)	6.7	12.0	17.9	19.3	19.0
ROA (pretax %)	4.2	4.3	5.6	6.6	7.4

Growth (%)

	FY24	FY25	FY26F	FY27F	FY28F
Revenue	2.2	22.4	25.2	18.1	12.7
EBITDA	-9.6	12.3	37.7	16.6	10.5
Normalised EPS	-25.2	7.2	70.0	27.5	16.6
Normalised FDEPS	-25.2	7.2	70.0	27.5	16.6

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	3,602	4,043	5,567	6,492	7,173
Change in working capital	-508	-425	-2,260	10	2,889
Other operating cashflow	-653	-132	-1,183	-1,697	-1,962
Cashflow from operations	2,441	3,487	2,124	4,804	8,100
Capital expenditure	-941	-534	-613	-674	-674
Free cashflow	1,500	2,953	1,511	4,130	7,426
Reduction in investments	0	0	0	0	
Net acquisitions					
Dec in other LT assets	0	0	0	0	
Inc in other LT liabilities	-129	-241	0	0	0
Adjustments	712	245	-61	0	
CF after investing acts	2,082	2,957	1,450	4,130	7,426
Cash dividends	-1,251	-1,511	-316	-403	-470
Equity issue	8	5	0	0	0
Debt issue	10,245	-1,295	-6,380	0	0
Convertible debt issue					
Others	-18,261	1,254	0	0	0
CF from financial acts	-9,259	-1,547	-6,697	-403	-470
Net cashflow	-7,176	1,410	-5,247	3,727	6,956
Beginning cash	14,711	7,534	8,945	3,697	7,424
Ending cash	7,534	8,945	3,697	7,424	14,380
Ending net debt	22,157	21,894	20,761	17,034	10,078

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	7,534	8,945	3,697	7,424	14,380
Marketable securities					
Accounts receivable	16,584	16,138	15,381	14,352	13,105
Inventories	36,847	43,568	49,338	53,405	55,136
Other current assets	4,166	3,549	3,549	3,549	3,549
Total current assets	65,130	72,199	71,965	78,730	86,171
LT investments					
Fixed assets	1,325	1,555	1,005	651	487
Goodwill	4,022	3,924	3,811	3,698	3,586
Other intangible assets	18,336	18,645	18,464	18,464	18,464
Other LT assets					
Total assets	88,814	96,323	95,246	101,544	108,708
Short-term debt	18,683	20,621	14,240	14,240	14,240
Accounts payable	23,247	25,734	28,487	31,534	34,908
Other current liabilities	17,086	19,833	19,833	19,833	19,833
Total current liabilities	59,015	66,187	62,560	65,607	68,981
Long-term debt	11,009	10,218	10,218	10,218	10,218
Convertible debt					
Other LT liabilities	2,676	2,435	2,435	2,435	2,435
Total liabilities	72,700	78,840	75,212	78,260	81,634
Minority interest	2,782	2,737	2,737	2,737	2,737
Preferred stock					
Common stock	2,860	2,860	2,860	2,860	2,860
Retained earnings	10,472	11,886	14,436	17,687	21,477
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	13,332	14,747	17,297	20,547	24,337
Total equity & liabilities	88,814	96,323	95,246	101,544	108,708

Liquidity (x)

	FY24	FY25	FY26F	FY27F	FY28F
Current ratio	1.10	1.09	1.15	1.20	1.25
Interest cover	3.4	3.5	3.8	3.9	3.9

Leverage

	FY24	FY25	FY26F	FY27F	FY28F
Net debt/EBITDA (x)	6.15	5.41	3.73	2.62	1.40
Net debt/equity (%)	166.2	148.5	120.0	82.9	41.4

Per share

	FY24	FY25	FY26F	FY27F	FY28F
Reported EPS (CNY)	54.98c	58.93c	1.00	1.28	1.49
Norm EPS (CNY)	54.98c	58.93c	1.00	1.28	1.49
FD norm EPS (CNY)	54.98c	58.93c	1.00	1.28	1.49
BVPS (CNY)	4.66	5.16	6.05	7.18	8.51
DPS (CNY)	0.08	0.07	0.11	0.14	0.16

Activity (days)

	FY24	FY25	FY26F	FY27F	FY28F
Days receivable	77.2	61.7	47.5	37.9	31.2
Days inventory	181.6	177.6	164.5	154.1	144.6
Days payable	115.4	108.2	96.0	90.0	88.5
Cash cycle	143.4	131.2	116.0	102.0	87.3

Source: Company data, Nomura estimates

Company profile

Unisplendour is a technology company, established a complete ICT infrastructure and service capability, providing hardware, software and turnkey solutions covering multiple sectors of the ICT and IT segments in China and internationally.

Valuation Methodology

Our TP of CNY51.00 is based on 40x FY27F EPS of CNY1.28, in line with WIND A-share server/switch sector median P/E. The benchmark index is CSI 300.

Risks that may impede the achievement of the target price

Downside risks include: 1) uncertainty of H3C stake acquisition may affect the company's global business expansion; 2) worse-than-expected impact from geopolitical tensions; and 3) worse-than-expected margin decline due to the accelerated "white-box" product trend.

ESG

As a digital solution service provider, Unisplendour Corporation provides solutions to customers to achieve digital transformation. The company's cloud strategy practices the green energy concept and environmental protection as well as assists its end customers to meet their emission reduction targets.

Earnings forecast revisions

We raise FY26-28F revenue forecasts by 17.1%-47.9% to reflect faster growth in its AI server and switch segments, driven by accelerated AIDC investment from China. As AI servers have lower gross margins than network switches', and we expect server revenue to grow faster than switch revenue, we slightly lower FY27-28F GPM forecast by 0.1-0.4pp to reflect the product mix change. Our FY26-28F earnings forecasts are 32.1%-51.3% higher than our previous estimates.

Fig. 1: Unisplendour - earnings forecast revisions

(CNY mn)	2023	2024	2025	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
	A	A	A	(NOM)	(NOM)	(NOM)	(OLD)	(OLD)	(OLD)	% diff	% diff	% diff
Turnover	77,308	79,024	96,748	121,097	143,041	161,231	103,394	105,952	109,023	17.1%	35.0%	47.9%
% chg yoy	4%	2%	22%	25%	18%	13%	7%	3%	3%			
COGS	(62,158)	(65,282)	(82,632)	(103,079)	(121,711)	(137,335)	(87,997)	(90,003)	(92,480)	17.1%	35.2%	48.5%
Gross Profit	15,150	13,742	14,116	18,018	21,330	23,897	15,397	15,949	16,544	17.0%	33.7%	44.4%
OPEX	(11,605)	(10,542)	(10,471)	(12,985)	(15,195)	(16,967)	(11,087)	(11,255)	(11,473)	17.1%	35.0%	47.9%
Operating Income	3,544	3,200	3,645	5,032	6,134	6,930	4,310	4,693	5,071	16.8%	30.7%	36.7%
% chg yoy	-21%	-10%	14%	38%	22%	13%	13%	10%	10%			
Pretax income	3,760	2,227	2,375	3,563	4,542	5,296	3,055	3,514	3,966	16.6%	29.3%	33.5%
% chg yoy	-11%	-41%	7%	50%	27%	17%	19%	15%	15%			
Tax	(76)	(245)	(203)	(305)	(389)	(454)	(262)	(301)	(340)	16.6%	29.3%	33.5%
Profit to shareholders	2,103	1,572	1,686	2,866	3,653	4,260	2,169	2,494	2,815	32.1%	46.5%	51.3%
% chg yoy	-3%	-25%	7%	70%	27%	17%	19%	15%	15%			
Ratio Analysis												
GPM	19.6%	17.4%	14.6%	14.9%	14.9%	14.8%	14.9%	15.1%	15.2%	0.0pp	-0.1pp	-0.4pp
OPEX	15.0%	13.3%	10.8%	10.7%	10.6%	10.5%	10.7%	10.6%	10.5%	0.0pp	0.0pp	0.0pp
OPM	4.6%	4.0%	3.8%	4.2%	4.3%	4.3%	4.2%	4.4%	4.7%	0.0pp	-0.1pp	-0.4pp
NPM	2.7%	2.0%	1.7%	2.4%	2.6%	2.6%	2.1%	2.4%	2.6%	0.3pp	0.2pp	0.1pp

Source: Company data, Nomura estimates

Fig. 2: Unisplendour - earnings forecast breakdown by segment

(CNY mn)	2023	2024	2025	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
Revenue	A	A	(NOM)	(NOM)	(NOM)	(NOM)	(OLD)	(OLD)	(OLD)	% diff	% diff	% diff
By Product												
ICT infrastructure and services	51,506	54,459	76,847	104,057	129,207	151,056	88,328	95,717	103,771	17.8%	35.0%	45.6%
IT Product distribution and supply	29,132	29,289	25,562	24,284	23,070	21,916	22,309	19,471	16,993	8.9%	18.5%	29.0%
Others and elimination	(3,454)	(4,882)	(6,141)	(7,725)	(9,716)	(12,222)	(7,725)	(9,716)	(12,222)	0.0%	0.0%	0.0%
Non-core business	123	159	481	481	481	481	481	481	481	0.0%	0.0%	0.0%
GPM												
ICT infrastructure and services	25.6%	22.2%	16.5%	16.0%	15.5%	15.0%	16.0%	15.5%	15.0%	0.0pp	0.0pp	0.0pp
IT Product distribution and supply	6.4%	5.3%	5.2%	5.2%	5.2%	5.2%	5.2%	5.2%	5.2%	0.0pp	0.0pp	0.0pp
Others and elimination	-1.1%	0.0%	0.2%	0.2%	0.2%	0.2%	0.2%	0.2%	0.2%	0.0pp	0.0pp	0.0pp
Non-core business	59.6%	47.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	24.0%	0.0pp	0.0pp	0.0pp
By Geography												
China	74,612	75,957	92,038	113,360	131,635	145,742	98,360	100,793	103,715	15.3%	30.6%	40.5%
y-y growth	*4%*	*2%*	*21%*	*23%*	*16%*	*11%*	*7%*	*2%*	*3%*			
% in total	*97%*	*96%*	*95%*	*94%*	*92%*	*90%*	*95%*	*95%*	*95%*			
Overseas	2,696	3,067	4,711	7,737	11,406	15,489	5,034	5,159	5,308	53.7%	121.1%	191.8%
y-y growth	*16%*	*14%*	*54%*	*64%*	*47%*	*36%*	*7%*	*2%*	*3%*			
% in total	*3%*	*4%*	*5%*	*6%*	*8%*	*10%*	*5%*	*5%*	*5%*			
GPM												
China	18.9%	16.8%	14.1%	13.9%	13.7%	13.5%	13.9%	13.7%	13.5%	0.0pp	0.0pp	0.0pp
Overseas	38.8%	32.4%	23.5%	28.7%	28.5%	27.0%	33.6%	40.9%	47.3%	-4.9pp	-12.3pp	-20.3pp

Source: Company data, Nomura estimates

Our FY26-28F revenue / earnings forecasts are 5-7% and 5-13% higher than WIND consensus estimates, as we are more positive on China's AI investment, as well as the company's profitability driven by technology upgrades of its large AI customers in China.

Fig. 3: Unisplendour: Nomura vs WIND consensus

CNY mn	FY2025	FY2026F			FY2027F			FY2028F		
			(CON)	diff	(NOM)	(CON)	diff	(NOM)	(CON)	diff
Revenue	96,748	121,097	114,746	6%	143,041	133,395	7%	161,231	153,797	5%
Pretax Profit	2,375	3,563	3,462	3%	4,542	4,386	4%	5,296	5,446	-3%
Net Profit	1,686	2,866	2,557	12%	3,653	3,236	13%	4,260	4,076	5%
EPS	0.59	1.00	0.89	12%	1.28	1.13	13%	1.49	1.43	5%

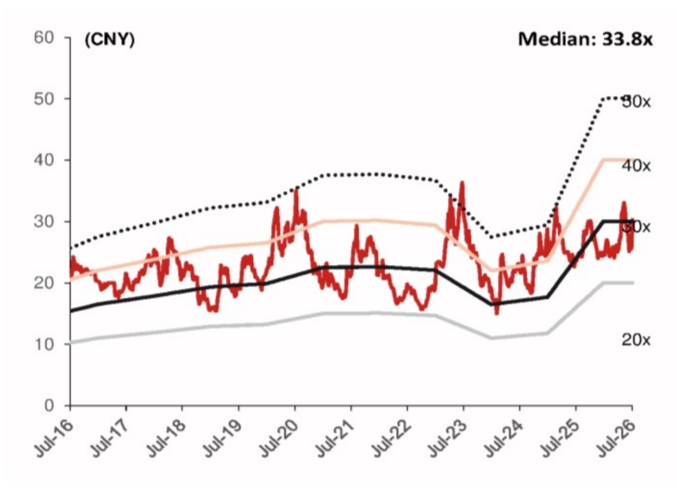
Source: Company data, WIND consensus, Nomura estimates

Valuation and risks

Our TP of CNY51.00 is based on 40x FY27F EPS of CNY1.28, in line with the WIND A-share server/switch sector median P/E. The benchmark index is CSI 300.

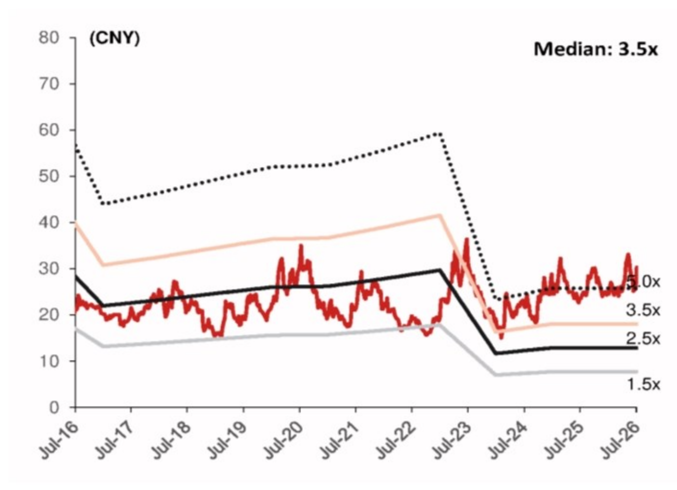
Downside risks include: 1) uncertainty of H3C stake acquisition may affect the company's global business expansion; 2) worse-than-expected impact from geopolitical tensions; and 3) worse-than-expected margin decline due to the accelerated "white-box" product trend.

Fig. 4: Unisplendour - 12-month forward P/E band



Source: Company data, Nomura estimates

Fig. 5: Unisplendour - 12-month forward P/B band



Source: Company data, Nomura estimates

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
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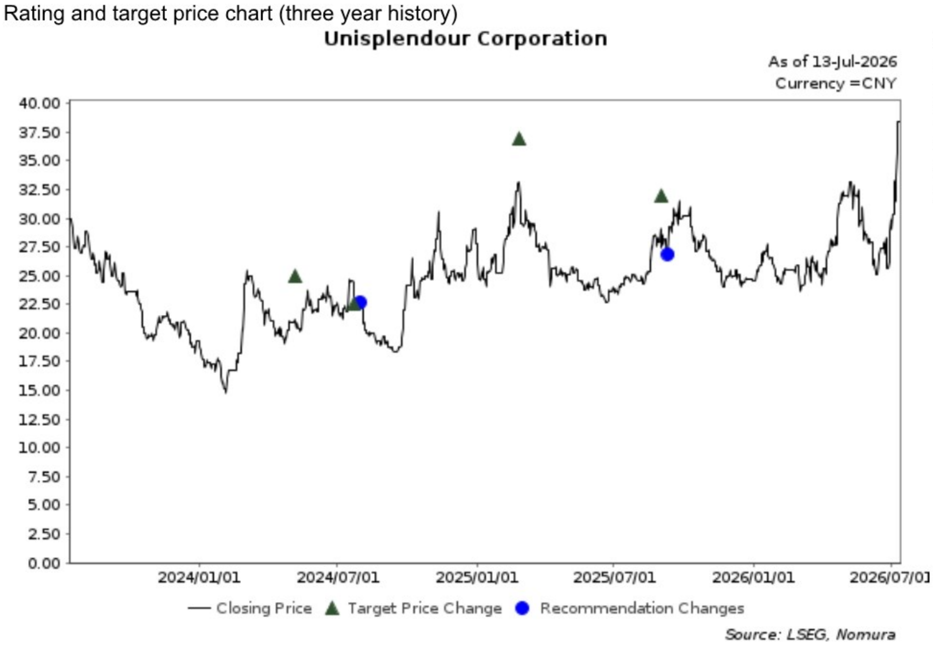
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Unisplendour Corporation	000938 CH	CNY 38.40	13-Jul-2026	Buy	N/A	

Unisplendour Corporation (000938 CH) **CNY 38.40 (13-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
02-Sep-25	Buy		27.41
02-Sep-25		32.00	27.41
26-Feb-25		37.00	32.97
23-Jul-24	Neutral		23.22
23-Jul-24		22.50	23.22
06-May-24		25.00	21.21

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY51.00 is based on 40x FY27F EPS of CNY1.28, in line with WIND A-share server/switch sector median P/E. The benchmark index is CSI 300.
Risks that may impede the achievement of the target price Downside risks include: 1) uncertainty of H3C stake acquisition may affect the company's global business expansion; 2) worse-than-expected impact from geopolitical tensions; and 3) worse-than-expected margin decline due to the accelerated "white-box" product trend.

Important Disclosures

Online availability of research and conflict-of-interest disclosures

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